

CHAPTER FOUR

ORGANIZING

4.1. MEANING AND DEFINITIONS OF ORGANIZING

The word 'organization' has come from the word 'organism' which means a structure of interrelated and interdependent parts. The parts or components of organization consist of men, machines, materials, methods, money, functions, authority and responsibility. The task of organization is to unite or integrate these components effectively for the purpose of attaining the common goal. Organization is the foundation upon which the whole organization is built. Without efficient organization, no management can perform its function smoothly. Sound organization contributes greatly to the continuity and the success of organization. A poor organization structure makes good performance impossible, no matter how good the individuals are.

The term organization connotes different things to different people. For example to the sociologists, organization means a study of interactions of people, classes or hierarchy of an enterprise. To the psychologists organization means an attempt to explain, predict and influence the behavior of individuals in an enterprise. The word 'organization' is also used widely to connote a group of people and the structure of relationships.

4.2. NATURE OF ORGANIZATION

The nature of organization can be highlighted by studying the following features:

- (1) **Organization is always related to certain objectives:** Whether it is organization of the entire enterprise or part of it, organization is influenced by objectives. The operations are divided; authority and responsibility are determined to achieve predetermined objectives.
- (2) **An organization connotes a group of people:** Mc Farland has defined organization as “an identifiable group of people contributing their efforts towards the attainment of goals. People form groups or organizations to accomplish common objectives and pool their efforts by defining and dividing various activities, responsibility and authority”.
- (3) **Communication is the nervous system of organization:** The organizational members are able to communicate with each other and may coordinate their activities. No organization can survive without an efficient system of communication.
- (4) **Organizing is a basic function of management:** Organizing is done in relation to all other functions of management, namely planning, staffing, directing and controlling and in all the areas

of business namely production, marketing, purchasing, and personnel. The organizing function is performed by all managers.

- (5) **Organization is a continuous process:** It is not a one step function. Managers are continuously engaged in organizing and reorganizing.
- (6) **Organization connotes a structure of relationship:** The structure of relationship deliberately created by the management is referred to as formal organization. An organization may also have a network of social relationships that arise between people working together. Such relationships are known as informal organization. In formal organization people are able to communicate with each other, are willing to act and share a purpose. In informal organization, people work together because of their likes and dislikes.
- (7) **Organization involves a network of authority and responsibility relationship:** Various positions are created; specific tasks are assigned to them. To perform the task, each position is delegated adequate authority. Authority and responsibility relationships throughout the organization must be clearly defined to achieve coordination and to avoid conflicts between individuals and departments.

4.3. TYPES OF ORGANIZATION

Organizations can be classified into formal and informal types.

Formal organization

Formal organization is an organization that is deliberately and rationally designed and approved by management through organizing process to achieve organizational goals/ objectives. It is planned structure of an organization which is deliberately created to attain desired objectives. It is a system with well-defined jobs, definite authority, responsibility, and accountability.

Common characteristics of formal organization are

1. **Consciously designed:** Formal organization are purposefully designed and established to attain certain end results.
2. **Based on delegated authority:** In a formal organization each employee has delimited authority; therefore, there is superior-subordinate relationship.
3. **Organizational chart is drawn:** Organizational chart shows jobs & departments, and it is the most tangible depiction/ picture of an organizational structure.
4. **Deliberately impersonal:** Positions in an organization are not personal properties. They are always open to someone who fit the position. People who meet the requirements of the job can fulfill the position.

Informal organization

Informal organization refers to people in-group associations, but these associations are not specified in the structure of the formal organization. They are not included or established deliberately/ officially in the formal organization channel but formed adjacent to the formal organization. They always exist in the formal organization; nothing can destroy them; they cannot be avoided. They are natural grouping of people in the work situation based on their behavioral patterns; interests; beliefs; objectives; etc..

No conscious attempt is made to create it. Informal organization may affect formal organizations positively or negatively. Managers should recognize that it exists in a formal organization; and should try to use it for the benefit of the formal organization.

Reasons for the formation of informal organization are

1. **Mutual benefit:** Members of an organization have their own personal interests that tied them to their colleagues so as to meet these interests. Hence the communality of people's interest in the formal organizations leads to the formation of informal organization.
2. **Friendship:** Members of an organization establish friendship among themselves due to different reasons. This friendship among the members paves the way for the formation of informal organization.
3. **The need to fulfill social needs:** A need to be the member of a society put the workers in the organization together. Therefore, one of the mechanisms through which people in the organization meet their social needs is being the member of informal organization.
4. **Physical work condition:** People working in the same unit are closely related. Hence, working in proximity or together is one of the reasons for the formation of informal organization.
5. **Administrative practice:** Some managers encourage while others suppress the formation of informal organization. Thus the type of management entertained by managers is the result for the establishment of informal organization.

Characteristics of informal organization

1. **Group norms:** This is the core behavior among the workers in the informal organization. There are agreements/ rules and regulations which may not be written that govern the behavior of members. The members act accordingly without showing any deviation.
2. **Group cohesiveness:** Members of the informal organizations basically have strong relationships. The more the group sticks together the more they will be successful in attaining the objectives.
3. **Group leadership:** Members in the informal organization select someone who is most active among the others as a leader, and such people are conventional leaders.

4. **Communication network:** It is also called grapevine. It is the network outside the formal communication channel established by the organization;.
5. **Lifespan and purpose:** Informal organizations have short life span in comparison with formal organization. Therefore they cease to exist when the members meet their interests and re-established when another need arises.
6. **Existence of a number of informal organizations in a formal organization:** The divergent nature of people's interest, their feeling, tradition, attitude, etc, lead to the formation of different informal organizations in a big formal organization
7. **Informal organizations gradually can develop into formal organization:** Informal organizations gradually can be emerged as formal organization.

Advantages and disadvantages of informal organizations

Advantages

1. **They are additional assets for the formal organization.** If informal organizations are properly associated to the formal organization, they are additional assets for the formal organization because they may come up with innovative ideas to promote the work of the organizations.
2. **They could be useful channels of communication.** In the informal organization, information can be easily and rapidly reach the members of the organization through their informal ways of communication.
3. **They provide satisfaction and stability in the organization.** When workers are given opportunity to establish the informal organizations, they entertain their idea that leads them to be satisfied and stable in the organization.
4. **They inform managers sensitive issues that would be embarrassing if formally released.** Some information may destruct the normal organizational climate if formally released. In such cases, informal organizations informally disseminate the information to the group's endurance and then the manager also becomes aware of the consequences if formally communicated.

Disadvantages

1. **Resistance to change:** There is often a tendency to resist changes.
2. **Role conflict:** Both types of organizations have their own objectives. These objectives will not be the same and this may arise role conflict in the organization.
3. **Rumor:** Managers may not equally release information to the members of the organization. When there is too much secrecy or ambiguous situations informal organizations disseminate distorted information.

4. **Hidden agenda:** Some leaders of informal organizations may have or promote destructive actions; hence such leaders may use the members as an instrumental to create challenge to the leaders of formal organization.

4.4. PURPOSE OF ORGANIZATION

Organization means a form of human association for the attainment of common objectives. An industrial organization denotes a type of association of persons in relationship to some economic activities. Obviously, the better the organization the fuller would be the achievement of common objectives. Similarly, a loose organization implies an unhappy and dangerous state of affairs. Organization is essential for the following purposes:

- (1) **To facilitate pattern of communication:** Organization structure provide pattern of communication and coordination. By grouping activities and people, structure facilitates communication between people centered on their job activities. People who have joint problem often need to share information to solve the problem.
- (2) **To allocate authority and responsibility:** Organization structure allocates authority and responsibility. It specifies who is to direct whom and who is accountable for what results. The structure helps the organization members to know what his role is and how it relates to others role.
- (3) **To locate decision centers:** Organization structure determines the location of decision making in the organization. For example, a departmental store may leave pricing decision to the lower level manager while in oil refinery pricing decision is at top level.
- (4) **To create proper balance:** Organization structure creates the proper balance and emphasis of activities. Those more critical to the enterprises success might be placed higher in the organization. For example R&D in pharmaceutical company might be singled out for reporting to the managing director. Activity of comparable importance might be placed at the lower level.
- (5) **To stimulate creativity:** Sound organization stimulates independent, creative thinking and initiative by providing well-defined areas of work with broad attitude of the development of new and improved ways of doing things.
- (6) **To encourage growth:** The organization structure provide framework within which an enterprise functions. If the organization structure is flexible, it will help in meeting challenges and creating opportunities for growth.
- (7) **To make use of technological improvements:** A sound organization structure which is adoptable to changes can make the best possible use of latest technology. It can modify the

existing pattern of authority-responsibility relationships in the wake of technological improvements.

4.5. ORGANIZING PROCESS

Step 1. Consider plans and goals

Organizing process should consider this step before attempting to perform other steps. Plans and their goals affect organizing and its results of the organization.

Organization is formed to achieve the goals already formulated during planning process. Organizing will create new structure, relationship and modify the existing ones.

Step 2. Determine the work activities necessary to accomplish objectives

This is identifying/ knowing all jobs that are going to be performed. i.e. creating a list of tasks to be accomplished.

Step 3. Classifying and grouping activities

Division of work creates the need for coordination. In order to provide a smooth flow of work, all closely related and similar activities must be grouped together. This step requires managers to perform three activities.

1. Examine each activity identified to determine its nature (marketing, finance, etc..)
2. Group activities into related areas
3. Establish basic department design for organization structure.

Work that is similar in nature (task, pressure, or skills required) is grouped to achieve organizational objectives. Grouping similar activities is based on the concept of division of labor and specialization.

Division of labor is a breaking down the work into its basic components/ activities, and assigning them to individuals/ be specialists and performing the job more efficiently and effectively. After classifying and grouping tasks into related work units comes departmentalization.

Step 4. Assign work and delegate appropriate authority

Activities that are departmentalized has to be assigned to individuals by giving appropriate authority to accomplish the tasks. The **authority should be equivalent to the responsibility** of the unit. Authority doesn't come first; assignment of activities establishes the basis for authority.

Step 5. Design a hierarchy of relationships

This step requires the determination of both vertical and horizontal operating relationships of the organization as a whole. Vertical structuring of an organization results in decision making hierarchy showing who is in charge of each task. It creates the chain of command or hierarchy of decision making levels in the company.

The horizontal structuring has two important effects.

1. It defines the working relationships between operating departments
2. It makes the final decision on the span of control (the number of subordinates under the direction) of each manager.

The result of this step is to complete organizational structure. Organizational structure is shown usually by an organization chart.

4.6. Organizational structure and Organizational chart

Organization structure is a formal framework that shows a set of tasks assigned to individuals and departments, reporting relationships (including line of authority, decision responsibility, number of hierarchical levels, and span of management control) and design of the systems to effectively coordinate employees across departments.

The organization chart is a diagram, which indicates the location of positions, departments and functions in the organization structure. It is a visual representation of the complete organization structure.

Organization chart represents basic framework of the organization. It tells us

1. the chain of command - who reports to whom
2. span of control - how many subordinates work for each manager
3. channel of communication
4. how the company is structured – e.g. by function, customer or product
5. the work being done in each job – the levels on the box
6. the hierarchy of decision making – where the decision maker is located
7. when the existing structure is formulated

Organizational manual

It is the description of the organizational charts and designed to promote understanding of the basic organizational structure. It is a guidebook consists of every department and functional activity together with objectives and strategies of the organization.

Organizing process is an ongoing and should not be viewed as a one time process. It results organization structure and organization chart.

4.7. DEPARTMENTALIZATION

The horizontal differentiation of tasks or activities into discrete segments is called as departmentalization or departmentation. Departmentation is the process of dividing the overall operations of the organization into sub-activities and then grouping these specialized activities and responsibility areas into work groups. Departmentation involves grouping of operating tasks into jobs, combining of jobs into effective work group and combining of groups into divisions often termed as

‘departments’. The aim is to take advantages of division of labour and specialization up to a certain limit. There are several ways of Departmentation, each of which is suitable for particular corporate sizes, strategies and purposes. The main bases are Function; location or Geography; Product; Customer; and process. Hence the types of departmentalization are;

1. Functional departmentalization
2. Geographic departmentalization
3. Product departmentalization
4. Customer departmentalization and
5. Multiple departmentalization

1. Functional Departmentalization

This is the simplest and most commonly used base form of departmentation. The common form where activities are grouped based on similarity in function or content. It is grouping jobs according to the functions of an organization. It is common for business firms. Within each department individuals perform specialized jobs.

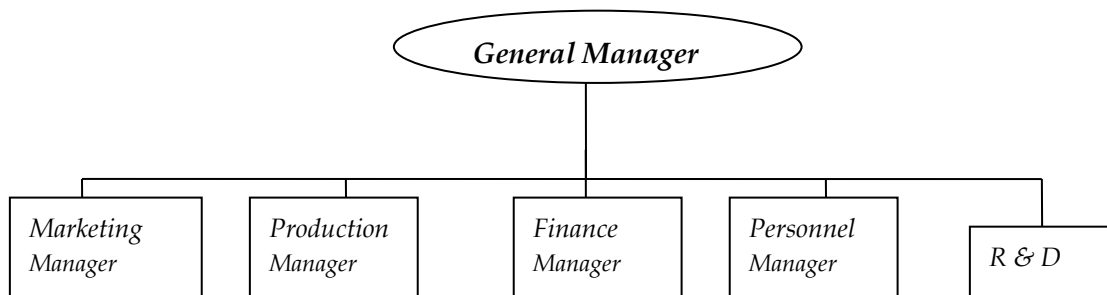


Fig 1: Functional departmentalization for business firm

Advantages

- ✓ It promotes specialization and organizational efficiency.
- ✓ Avoid overlap performing basic businesses
- ✓ It provides chance for occupational specialization because people with specialization work gather in one department
- ✓ It provides unity of direction. Among members of the department there is job interrelation.
- ✓ Lines can clearly be drawn between the functional areas
- ✓ It promotes communication within departments
- ✓ Create strong team spirit among people working in one department

Disadvantages

- ✘ It has problems of horizontal coordination.
- ✘ The tendency of “empire building”. Unhealthy competition will occur between/ among departments.
- ✘ focuses on departmental problems and objectives; and ignores organizational issues and objectives
- ✘ Create communication barrier among people with different specialization
- ✘ Narrows the understanding of employees about the organization at large
- ✘ Department managers can not develop general managerial skills to take up higher managerial position
- ✘ Lack of understanding of interrelationship and dependency between all functions
- ✘ Lack of generalist and internal destructive competition among different departments reduces the success of the entire organization

2. Geographic Departmentalization

It is also called location departmentalization or departmentalization by territory. It is grouping of jobs on the bases of geographic areas. It is established when a company has different branches that are geographically dispersed. The operations are similar from region to region

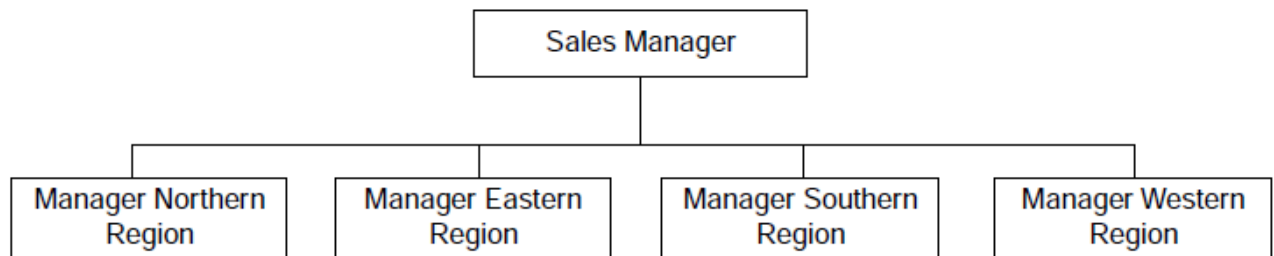


Fig. 2; Departmentation by territory

Advantages

- ✓ It helps in exploiting local advantages.
- ✓ It provides a training ground for new managers, i.e. to place managers out of territory and then asses their progress.
- ✓ It enables the firm to develop local market areas and adjust quickly to local customers' needs
- ✓ It helps the company to reach close to raw materials.
- ✓ It saves a substantial amount of transport costs.
- ✓ It provides chance to local people employment opportunity.
- ✓ Create customers good will and awareness of local feeling and desire.

- ✓ Facilitate decision making
- ✓ It can provide a high level of service as employees know the local culture and language.

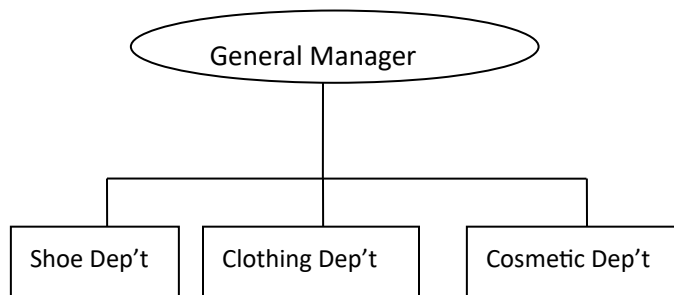
Disadvantages

- ✗ Difficulties in maintaining consistent adherence to company policy and practices
- ✗ Duplication of effort
- ✗ The necessity of having a relatively large number of managers
- ✗ It poses serious problems of coordination and control.
- ✗ It may create gaps between head offices and branch offices.
- ✗ It is costly to host many geographically dispersed departments.

A company uses territory as basis for departmentalization often needs a large head quarter's staffs to control dispersed operation.

3. Product based departmentalization

It is grouping on the bases of products (goods/ services). Such kind of departmentalization is best to large and multiple product organizations.



Advantages

- ✓ Allows workers to identify with a particular product and develop team spirit.
- ✓ It results in high product visibility.
- ✓ It facilitates innovation; and also enhances specialization of production.
- ✓ Each division has its appropriate personnel
- ✓ It improves co-ordination b/n functions relating to a particular product.
- ✓ Facilitates use of specialized facilities, skills; knowledge's; capital.

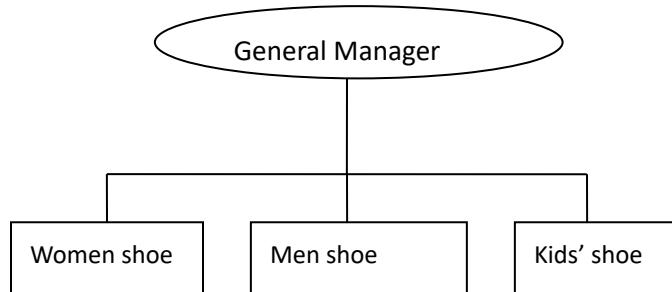
Disadvantages

- ✗ Pressure for highly qualified managerial resources.
- ✗ It results in poor coordination across the product lines.
- ✗ Duplication of efforts among divisions

- ✖ requires more persons with general manager abilities
- ✖ Leads to decreased communication among functional specialists;
- ✖ Contributes to duplication of services in each division;

4. Customer based departmentalization

It is grouping of tasks based on the type of customers served. Customers are the key to the way activities are grouped. Such forms of departmentalization are more common in banking, book publishing and food industry.



Advantages

- ✓ Customers' interest and priority is respected;
- ✓ Helps to meet customers' special needs by setting up separate departments
- ✓ Indicate the willingness to understand the business of its clients
- ✓ Workers are identified with a particular group of customers that create team spirit

Disadvantages

- ✖ It is almost impossible to consider all the customers, their interests, habits and customs.
- ✖ In the period of no or little demand for goods and services of an organization, some sections may not be profitable.
- ✖ There is a problem of duplication of resources and activity
- ✖ Creates difficulty in coordination between departments
- ✖ High competition among departments may deter the overall organizational performance
- ✖ Requires manager and staff specialists similar with the customers' situation
- ✖ Differentiation among the various customer groups might be difficult

5. Departmentalization by process

It is appropriate when departmentalization by production is inflow. Under it activities are grouped on the basis of various manufacturing process.

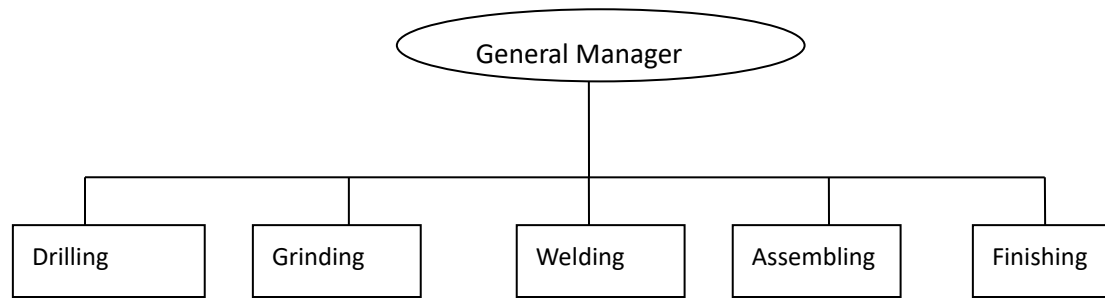


Fig 4: departmentalization by process

Advantages

- ✓ It is appropriate for organizing certain types of work.
- ✓ It helps to group production facilities.
- ✓ It puts full responsibility of completing each stage of the job.

Disadvantages

- ✗ Failure in one of the process may adversely affect the whole job.
- ✗ Due to sub specialization a worker has, he can not be shifted to another department, i.e. it restricts flexibility.

6. Multiple Bases for Departmentalization

It is the combination of two or more departments discussed above. It helps to divide work comprehensively. It is also a way of combining jobs into departments. E.g. matrix organizations

Matrix organization

They are also called grid organizations or project/ product management. It is an organization arrangement that developed because of the need for quick completion of highly technical projects that required significant contribution by two or more functional groups. It is the combination of deferent departmentation systems. They are combining functional and project or product patterns of departmentalization in the same organization. They are common in engineering and R& D, and also in product-marketing organization.

Advantage

- ✓ Resource can be used efficiently, since experts and equipment can be shared across departments
- ✓ Products and projects are formally coordinates across functional departments
- ✓ Information flow
- ✓ Develop border people capabilities

Disadvantage

- Conflict exists between functional and project managers due to competition for limited resources
- Role conflict, role ambiguity and role overload may result
- Imbalance of authority and power, and may result inefficiencies
- Managers protect themselves against blame by putting everything in writing which increases administration cost because of potential conflicts
- Requires many time-consuming meetings

Guidelines to make matrix management effective are;

1. Define the objectives of the task/ project clearly
2. Clarify the roles, responsibilities and authority of managers and team members
3. Ensure influence based on knowledge and information rather than rank
4. Balance the power of functional and project managers
5. Select experienced manager who can provide leadership
6. Undertake organization and team development
7. Install appropriate cost, time and quality control that report deviations from standards in timely manner
8. Reward project managers and team members fairly

4.8. MAJOR CONCEPTS OF ORGANIZING

In the process of management, conceptualization and application of certain major organizational concepts are necessary. Thus, some major organizational concepts and principles that managers must be familiar are

- authority;
- power;
- delegation;
- span of control; and
- centralization Vs decentralization

1. Authority

All managers in an organization have authority. They have different authorities based on the management position they occupy. Authority is described as institutional power. It is the right to act, or to give order/ command, or deploy resources in an organization. It is the power derived from the rights

that comes with position. Authority represents legitimate exercise of power in the organization structure. Without authority a manager cannot perform tasks with confidence and show results. The source of authority is the position that an individual has in the organization. A person who occupies the position has formal authority as long as s/he remains on the position.

Essential features of authority

- It is the relationship between two individuals - one superior and the other subordinate.
- It is the right to act.
- It is the power to make decisions and seeing that they are carried out.
- It is used to achieve organizational goals.

The relationship between power and authority

Authority is the power that has been legitimized by the organization. Whereas Power is ability to exert influence on others, or the ability to do something. The source of power can be competency, expertise, position, knowledge, skills, charisma and ability to reward and punish. Like authority, power is institutionalized and impersonal. In organizations, it is necessary to keep a balance between power and authority. In some cases, a manager may have the authority (the right to do something), but may lack the power (ability to do something) and vice versa. Failure to associate power and authority at all organization levels may lead to disastrous consequence. **Power without authority may be abused and authority without power is totally meaningless.**

Difference between authority and power

Authority	Power
(1) It is the institutionalized right of a superior to command and compel his subordinates to perform a certain act.	It is ability of a person to influence others.
(2) It rests in the position	It rests in the individual.
(3) It is delegated to an individual by his superior.	It is earned by individual
(4) It is well defined	It is undefined and infinite.
(5) It is what exists in the eye of law.	It is what exists in fact. It is a de facto concept.

Types of authority

The process of accomplishing organizational objectives through people entails the establishment of relationship among the members of the organization and different hierarchies of the management. This again results the presence of the three distinct types of authority in business organization, namely

1. Linear authority

2. staff authority
3. functional authority

- **Line of authority**

Line authority is the relationship between superior and subordinates. It is directed supervisory relationship. It enables the manager to tell subordinates what to do. It is represented by the chain of command. It flows downward in an organization. A manager supervising employees or other managers has line authority. These departments established to meet the major objectives of the business and directly influence the success (profitability) of a business. Eg for factories – production, marketing, finance etc are line departments.

- **Staff authority**

Staff authority is the right to give advice. It is advisory in nature. Thus the people in the staff position assist and advise the line manager. People in these positions have the authority to offer advice and recommendations. e.g. legal service; public Relation service. It is an advisory authority for manager. Advisory authority doesn't provide any basis for direct control over subordinates or activities of other departments.

- **Functional authority**

Functional authority is an authority exercised or the right to control activities in other departments. It is an authority delegated to an individual or department **over specific activities** undertaken by personnel in other departments. Functional authority is usually limited in scope and duration. It is exercised one level below the person who has it.

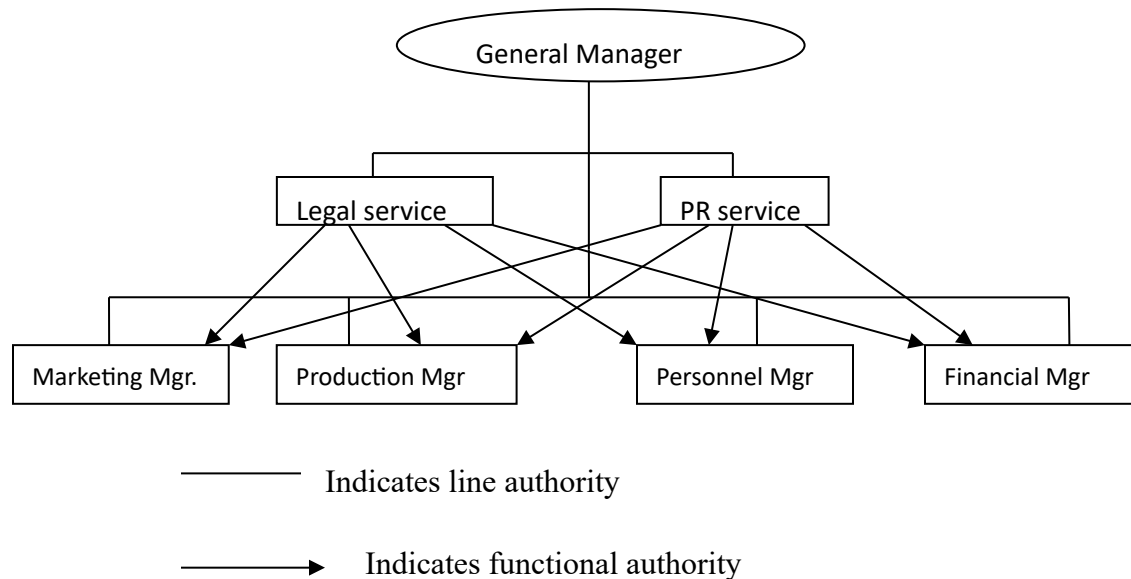
Line and staff departments

- **Line departments**

Departments are normally designated as line departments. Line departments are departments established to meet the **major objectives of the organization**. They are headed by line managers. Line managers exercise line authority.

- **Staff departments**

Staff departments are **supporting staff** those provide assistance to the line departments and to each other. Staff departments play vital role in the success of a company. They are created on the basis of the special needs of the organization. They include: Public Relations; legal service; personnel service; and computer service.



Sources of power

1. **Legitimate or position power**- is the power possessed by managers and derived from the positions they occupy in the formal organization. Legitimate / delegated power is authority.
2. **Coercive power** – the power on fear of the negative results that may happen if one fails to comply. Managers because of their position, have the ability to punish with holding promotion, demotion or dismissing an employee. This gives them power so it is dependent on fear.
3. **Reward power** – the power that comes from the ability to promise or grant rewards. Managers have the ability to decide on promotions, favorable performance appraisals and preferred work shifts, and this gives them power.
4. **Referent power** – the power that is based on the kind of personality or charisma an individual has and how other perceives it.
5. **Expert power**- ability to influence others by one's ability, skill, knowledge and experience E.g. An experienced manager exercise power with new comers.

2. Delegation

Every manager must delegate duties to subordinates since management means getting work done through others. Effective managers normally delegate as many operation tasks as possible to subordinates and concentrate their efforts on core managerial tasks. Delegation is authorizing subordinates to act in a certain manner independently. It is a concept describing the passing of formal authority to another person or passing authority downward to subordinates. It helps to facilitate work being accomplished. It is delivering to another the right to act; to make decision; to requisition resources; and to perform other tasks in order to fulfill jobs responsibility. Delegation is a two side

relationship, i.e. the assigner and assignee. It is an act of trust; an expression of confidence; requires necessary skills & strength, and requisite application and dedication to duties. Delegation occurs for two purposes

1. When managers are absent from their jobs - Subordinates act on behalf and exercise authority.
2. To develop subordinates and facilitate decision making process

Process of delegation

Steps for delegation are;

1. **Assignments of tasks:** Kinds of tasks to be performed by subordinate are identified and assigned to the subordinate
2. **Delegation of authority:** A subordinate to carry out the activity, the necessary authority should be given by the manager. A guideline for authority is that “**no more no less**”. i.e. It has to be adequate to complete the task.
3. **Acceptance of responsibility:** When subordinates are assigned with duties and delegated authority, then they will be responsible or obliged to perform the tasks to the maximum ability they can perform.
4. **Creation of accountability:** When subordinates are assigned for certain tasks and are delegated a certain authority, and then they will be accountable for the actions taken.

3. Accountability

Accountability is just having an answer to somebody. Answer for the actions taken with regard to the tasks assigned and authority delegated. Accountability means taking the consequence - either credit or blame. If one accepts assignments and authority, s/he is answerable for the actions taken. A manager is accountable for the use of his/her authority and performance, and the performances and actions of subordinates.

The process of delegation produces clear understanding on the part of manager and of the subordinates.

- The manager should take time to think thoroughly what is being assigned and to confer authority necessary to achieve results.
- The subordinate accepting the assignment, obliged (responsible) to perform and is accountable for the results.

To delegate a manager must be able to consider the following issues.

1. Analyze how the manager spends his/her time.
 - This enables to list out the duties that the manager undertakes.

2. Determine the tasks that can be assigned.
 - All duties of the manager cannot be delegated. The manager should identify which of the duties should be delegated while doing so, and the manager should consider the ability of the subordinates.
3. Decide which task can be handled by whom among the subordinates.
4. Delegate the authority and create the responsibility.
5. Control whether the delegated subordinates are performing the tasks to the expected standard or not.

3. Span of control

Manager cannot supervise unlimited number of employees. There should be a limited capacity to control the work of different subordinates. The manager's ability to supervise a large number of subordinates is constrained by knowledge, experience, time, energy, etc.. To overcome this limitation, every manager has to delegate work to subordinates.

Span of management/ control refers to the number of subordinates that single manager can effectively supervise or should have to direct. There is no correct number for the span of control or there is no exact formula to determine the span of control. It varies from one situation to another.

As a general rule;

- The more complex a subordinate's job, the fewer will be the manager's number of subordinates.
- The more routine the work of subordinates, the greater will be the number of subordinates that can be effectively directed and controlled.

Because of these general rule organizations have a narrow span of control at the top and wider span at the lower levels. i.e. as one goes up the hierarchy, the fewer will be the number of subordinates. A well trained person/ subordinate follows directions and routines; master tasks; requires less supervisory of time and energy.

Factors those influence spans of control of a manager are

1. The ability & the experience of a manager;
2. the complexity & variety of the subordinates' work
3. the qualification of the manager and subordinates;
4. growth in competence and experience in personnel
5. The company's philosophy towards centralization or decentralization in decision making.

If the manager has

- Too many people to supervise, the subordinates will be frustrated by their inability to get immediate assistance from their boss; time & other resources could be wasted; plans, decisions & actions be delayed or made without proper control or safeguard.
- Too few people to supervise, the subordinates could become overloaded or over supervised; and frustrated & dissatisfied.
- The more capable & experienced the subordinates, the more that can be effectively supervised by one competent manager; the less time is needed to train & acclimate; the more there is to devote to producing output.

Based on the number of subordinates who should report to a manager or the number of subordinates that a superior should supervise, we can have Wide span of management and Narrow span of management.

Wide span of management

This means many subordinates report to a superior or a superior supervises many subordinates.

If the span of management is wide, we get:

- A flat organization structure with fewer management levels between top and lower level
- Many number of subordinates and decentralized authority
- Managers are overstrained and their subordinates receive too little guidance and control
- Fewer hierarchal level

Narrow span of management

This means superior controls few numbers of subordinates or few subordinates report to a superior.

This is when supervisors need to involve closely with subordinates. It is a tall organization structure characterized by narrow span of control and a relatively large number of hierarchical levels. The manager manages small number of immediate subordinates

4. Centralization Vs decentralization

Both centralization and decentralization refers to the nature of authority within an organization structure. Centralization and decentralization are merely the results of circumstances. Absolute centralization or absolute decentralization is impossible in practice; it is a matter of the degree along a continuum.

Centralization

Centralization is a systematic and consistent reservation of authority at central point within the organization. It is the concentration of authority for decision making within the hands of one or few.

In centralization;

- There is little delegation of authority
- Rules, power & discretion are concentrated at the top level
- Control & decision making reside at the top level of management

The more highly centralized the organization, the more control and decision making will be exercised at the top. Centralization is essential in case of small organizations to survive in a highly competitive world. The larger the size of the organization, the more consent is the need for decentralization.

Special circumstances forcing managers to reserve/ keep authority and centralize decision making power are

1. **To facilitate personal leadership:** Centralization generally works well in the early stages of organizational growth. Dynamic and talented leader can derive advantages in a small firm in the form of quick decisions, enterprising & imaginative action, and highly flexible.
2. **To provide for integration:** Under centralization the organization moves as a unit. It keeps all parts of the organization moving together harmoniously toward a common goal. It assures uniformity of standards and policies among organizational units. The manager acts like a unifying force and provides direction to the activities. Duplication of effort and activity are also avoided.
3. **To handle emergencies:** Centralization is highly suitable in the time of emergency because it helps to mobilize resources and information quickly. Centralization of decision making ensures prompt action necessary to meet the emergencies.

Centralization makes;

- difficult for managers to process the bundles of data in time and take decision in an appropriate manner
- the manager burdened with a great amount of detailed & exhaustive work
- managers to work painfully long hours
- forces top management to possess a broad view they may have beyond their capacity
- the vast amount of power given to a few people may be abused

Centralization floods communication lines to a few individuals at the top of the organization. As a result the speed of communication upward and decision processes are slow. Centralization kills the initiative; self reliance and judgment of lower level personnel.

Decentralization

Decentralization is a systematic effort to delegate all authority to the lowest levels except that which can be exercised at central point. It is pushing down of authority and power of decision making to the lower levels of organization. The essence of decentralization is the transfer of authority from a higher level to the lower level. Nowadays decentralization has become to be the fundamental principle of democratic management.

Some guidelines to identify the degree of decentralization in a company

1. The greater the number of decisions made at the lower level of management, the more the company is decentralized.
2. The more important decisions are made at the lower level, the greater is the decentralization.
3. The more flexible the interpretation of the company policy at the lower levels, the greater the degree of decentralization.
4. The more widely dispersed the operations of the company geographically, the greater the degree of decentralization.
5. The less the subordinate has to refer to his/her manager prior to decision, the greater the decentralization.

Advantages and disadvantages of decentralization

Decentralization is extremely beneficial but also dangerous unless it is carefully constructed and constantly monitored.

Advantages

- It reduces the work load on overburdened manager.
- It brings the decision making process closer to the scene of the action.
- It facilitates product diversification. i.e. treats each product lines as separate and important.
- It gives individuals an opportunity to learn by doing.
- It facilitates effective control. i.e. often results in improved controls & performance measurements.
- It ensures participative management.

Disadvantages

- **Conflict:** Decentralization puts increased pressure on each heads to realize profit at any cost. To meet this each deviates or veers away from corporate objective. i.e. leads to competition that may ultimately result in bitter individual rivalries.

- **Cost or duplication:** Decentralization results in duplication of staff effort. To be independent each division should have access to purchasing, personnel, etc. hence each carry a large group of specialists at numerous cost.

Relationship of Centralization and Span of Control

Centralization or decentralization in decision making influences the span of control. Decentralized decision making is that the span of control should be wider for each manager; i.e. decision making is forced down to subordinates, thus freeing up a manager's time and commitments. Centralized decision making results in narrower span of control and higher levels of management. Top managers make the majority of decisions and closely supervise their subordinates and delegate little.

Delegation Vs Decentralization

Delegation and Decentralization are not same; the differences between them are given below:

- (1) Delegation is a process while decentralization is the end result of a deliberate policy of making delegation widespread in the organization.
- (2) Delegation takes place between a superior and a subordinate while decentralization is companywide delegation as between top management and the departments or division of the organization.
- (3) In delegation, delegator exercises supervision and control over the delegate, while in decentralization, top management exercises broad minimum control.

PRINCIPLES OF ORGANIZATION

In order to facilitate the achievement of objectives, management thinkers have laid down certain principles of organization. The principles are guidelines for planning organization structure. Therefore, thorough understanding of the principles of organization is essential for good organization. The principles of organization are discussed below:

- (1) **Objectives:** The objectives of the enterprise influence the organization structure. Every part of the organization and organization as a whole should be geared to the basic objective determined by the enterprise.
- (2) **Specialization:** Effective organization must promote specialization. The activities of the enterprise should be divided according to functions and assigned to persons according to their specialization.
- (3) **Span of control:** A manager can directly supervise only a limited number of executives. Hence, it is necessary to have a proper number of subordinates answerable to a manager. A maximum of six may be prescribed for this purpose.
- (4) **Exception:** This principle requires that organization structure should be so designed that managers are required to go through the exceptional matters only. All the routine decisions should be taken

by subordinates, where as problems involving unusual matters and policy decision should be referred to higher levels.

- (5) **Scalar principle:** This is also known as chain of command. There must be clear lines of authority running from the top to the bottom. Authority is the right to decide, direct and coordinate. Every subordinate must know who his superior is and to whom policy matters beyond his own authority must be referred for decision.
- (6) **Unity of command:** Each subordinate should have only one supervisor whose command he has to obey. Dual subordination must be avoided, for it causes uneasiness, disorder, and indiscipline and undermine of authority.
- (7) **Delegation:** Proper authority should be delegated at the lower levels of the organization also. The authority delegated must be equal to responsibility i.e., the manager should have enough authority to accomplish the task assigned to him.
- (8) **Responsibility:** A superior should be held responsible for the acts of his subordinates. No superior should be allowed to avoid responsibility by delegating authority to his subordinates.
- (9) **Authority:** The authority is the tool by which a manager is able to accomplish the desired objective. Hence, the authority of each manager must be clearly defined. The authority and responsibility must be co-extensive in the organization.
- (10) **Efficiency:** The organization should be able to attain the mission and objectives at the minimum cost.
- (11) **Simplicity:** The organization structure should be as simple as possible with minimum number of levels. A large number of levels of organization mean difficulty of effective communication and coordination.
- (12) **Flexibility:** The organization should be flexible, should be adaptable to changing circumstances. It should permit expansion and replacement without dislocation and disruption of the basic design. A sound organization must avoid complicated procedures, red-tape and excessive complication of control so that it may adapt itself easily and economically to business and technical changes.
- (13) **Unity of direction:** There must be one objective and one plan for a group of activities having the same objective. Unity of direction facilitates unification and coordination of activities at various levels.
- (14) **Personal abilities:** As organization is a formal group of people there is need for proper selection, placement and training. Organization structure must ensure optimum use of human resources.

1.8. GROUPS AND COMMITTEES

Group: is a social unit consisting of two or more interdependent, interactive individuals who are striving to attain common goals.

Types of groups

Groups can be classified as follows:

A. Formal Group

B. Informal Group

A. Formal groups: are groups established by an organization, their membership and structure are formed by the management of the organization. Formal groups are may be classified as follows:

- 1. Task/work group:** consists of people with different skill for performance of a common task.
- 2. Command group:** consists of managers and their employees formed due to authority and responsibility relationship.
- 3. Mediating group:** a group formed to resolve conflict that may arise between departments and individuals.
- 4. Policy making group:** a group established to formulate operating policy.

Informal groups are groups created spontaneously when member join together voluntarily because of similar interest.

2. Informal groups: are groups created spontaneously when member join together voluntarily because of similar interest. Not all groups are as formal as those we have identified; many are informal in nature. Informal groups develop naturally among an organization's personnel without any direction from the management of the organization within which they operate. One key factor in the formation of informal groups is a common interest shared by its members. Informal groups are groups that emerge or randomly get formed due to the formal group members' interaction with each other, and thereby develop common interest. For example, members who are showing interest in cricket will join together and share and enjoy talking about the cricket games. Informal groups provide a very important service by satisfying their members' social needs. Because of interactions that result from the close proximity of task interactions, group members play cricket together, spending their tea breaks together etc.

Informal groups are may be classified as follows:

- 1. Interest group:** Employees who joined together to have their fringe benefits continued to have its implementation, to support a peer who has been fired, or to seek more festival holidays etc. they tend to unite together to further their common interest. It comprises workers coming together to achieve a mutual objective.
- 2. Friendship group:** Groups often develop because the individual members have one or more common characteristics. This is called friendship groups. For example, recreation clubs, social groups etc. It comprises workers who share something in common.

Committee: is a group of members that represents functional areas of expertise.

It is best example of formal group. The primary function of committee is to make or suggest decisions on problems requiring integration of different departments.

Types of committee

Generally committees can be **ad hoc** or **standing**

1. **Ad hoc committees:** are those formed for a particular purpose. If the objectives are for which they are established have been met, they are disbanded (dispersed). They are temporary.
2. **Standing committee:** are permanent in nature. They are not disbanded. In large organizations they often take the form of finance committees and personnel committee and there is always enough work to justify their existence.